

## 25VECV06005 25VECV06005

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25VECV06005 BEYDA V YANG

[TENTATIVE] ORDER: Cross-Defendants Jack Yang and Lauren Lin's Demurrer to the Cross-Complaint is OVERRULED as to the first cause of action and SUSTAINED WITHOUT LEAVE TO AMEND as to the second and third causes of action.

### Introduction

Cross-Defendants Jack Yang (Yang) and Laure Lin (Lin) (collectively, Cross-Defendants) demurred to Cross-Complainant LH Enterprises dba LW Executive's (Cross-Complainant) Cross-Complaint (XC). Cross-Defendants' demurrer placed into issue the first cause of action (COA) for breach of contract, the second COA for express indemnity, and the third COA for tort of another.

### Discussion

Cross-Defendants asserted that there are insufficient facts pled to support the first COA for breach of contract. Cross-Complainant alleged that Cross-Defendants breached the Independent Contractor Agreements (ICA) by performing property management activities in violation of ICA paragraph 4.G. and also breached the ICA by failing to indemnify and defend Cross-Complainant from the underlying action filed by Plaintiff Michael Beyda (Plaintiff) in violation of ICA paragraph 14. (XC pars. 5-11, 12-17.) The "Prohibited Activities" provision in ICA paragraph 4.G. stated that Cross-Defendants are prohibited from engaging in property management activities "without the express written consent of Broker [Cross-Complainant]." The Cross-Complaint is silent as to whether Cross-Complainant did not provide written consent.

Cross-Defendants' argument infers from the silence that Cross-Complainant provided written consent and thus breach is not sufficiently alleged with supportive facts. However, the inference is unpersuasive, especially when read in conjunction with the allegation that Cross-Complainant lacked any knowledge and did not authorize Cross-Defendants' actions. (XC par. 24.) Although Cross-Complaint paragraph 24 is not expressly incorporated into the first COA, the Court reads all the allegations of the Cross-Complaint as a whole and the inference is read in favor of the Cross-Complainant, which is the standard for a demurrer. The Cross-Complaint alleges sufficient facts to support the breach of contract COA as related to the violation of ICA paragraph 4.G. and the inference is that Cross-Complainant did not authorize Cross-Defendants to act as property managers. The argument against the first part of the COA is unpersuasive.

Cross-Defendants then argued that the indemnification and defense claim of the COA is insufficiently supported by fact pleading because ICA paragraph 14 only applies to claims arising from an associate-licensee's conduct in connection with services rendered or to be rendered under the ICA or from real-estate licensed activity and Cross-Complainant failed to alleged what service or real-estate licensed activity was placed into issue in the underlying Complaint filed by Plaintiff. However, Cross-Complainant alleged that the underlying Complaint filed by Plaintiff arose out of Cross-Defendants' actions, as real estate agents, and specifically Cross-Defendants' contact with Plaintiff's tenants and advice given to Plaintiff concerning the tenants/property management activity. (Cross-Complaint, pars. 4-6.) The allegation is sufficient to plead facts to allege services rendered and/or a real-estate licensed activity.

Cross-Defendants further argued that the indemnification provision does not cover an indemnitee's own active negligence. However, the argument is based upon facts outside the four corners of the Cross-Complaint. Cross-Defendants rely upon facts alleged in the underlying Complaint that Plaintiff alleged that Cross-Complainant authorized, ratified, and participated in the alleged misconduct. However, the allegation in the Complaint by Plaintiff is in direct contradiction to the allegation in the Cross-Complaint that Cross-Complaint had no knowledge and/or did not authorize Cross-Defendants' misconduct. (XC par. 24.) Because the demurrer admits the veracity of all fact allegations in the Cross-Complaint, the contradictory allegations in the underlying Complaint are improper grounds for a demurrer and/or to dispute the fact allegations in the Cross-Complaint.

Cross-Defendants contention that Cross-Complainant was actively negligent in the transaction/events and thus cannot be indemnified is unpersuasive at this pleading stage.

Cross-Defendants lastly argued that the indemnification claim is insufficiently supported by fact allegations because the ICA's provision identifying the method of damages/payment if Cross-Defendants are to indemnify Cross-Complainant is not marked in the ICA. (See XC, Exh 1, par. 14.B.) However, defects in pleading damages, or the specific method of payment under the ICA, are not proper grounds to sustain a demurrer. In so far as a judgment is entered against Cross-Defendants, the method of enforcement of the judgment is an issue to be reviewed post-judgment and not at the pleading stage. As it stands, the Cross-Complainant sufficiently alleged contract-related damages because Cross-Defendants are not defending and/or denying indemnification on the underlying Complaint. The argument is not persuasive.

Cross-Defendants asserted that the Cross-Complaint failed to identify the misconduct attributable to each Cross-Defendant and, also, asserted that the alleged acts as property managers is conclusory. The Cross-Complaint is sufficient in pleading that the misconduct is alleged against both Cross-Defendants. Cross-Defendants' argument that the pleading is conclusory and requires specific facts as to each Cross-Defendant is not persuasive because breach of contract does not require specific fact pleading, like fraud. Further, specificity as to the misconduct attributable to each Cross-Defendant is an issue better resolved during discovery.

The Demurrer to the first COA is OVERRULED.

Cross-Defendants demurred to the second COA for breach of express indemnity because the claim is duplicative of the claims alleged in the first COA for breach of contract. Cross-Complainant failed to address the argument and only asserted that the COA is sufficiently supported with fact pleading so as to apprise Cross-Defendants of the claims being alleged. The Court finds Cross-Defendants' argument to be persuasive because the allegations are based upon the same indemnification provision alleged in the first COA (i.e., the indemnification provision in the two ICAs) and based upon the same alleged breaches (i.e., performing property management services that was prohibited in the ICA). The opposition missed the point of the demurrer to the second COA.

The demurrer to the second COA is SUSTAINED WITHOUT LEAVE TO AMEND.

Cross-Defendants asserted that the third COA for tort of another failed to plead sufficient facts to plead any tort duty owed to Cross-Complainant and that the contractual duties asserted in the first COA are insufficient to support a tort duty owed to Cross-Complainant. (Sooy v. Peter (1990) 220 Cal.App.3d 1305, 1310.) Cross-Complainant asserted that the COA is sufficiently alleged but failed to address the specific pleading defect raised by Cross-Defendants. Further, Cross-Complainant relied upon *Prentice v. North American Title Guaranty Corp* (1963) 59 Cal.2d 618, 620 (*Prentice*)) to support their contention that the COA is sufficiently pled. However, the facts alleged in *Prentice* support Cross-Defendants' argument and do not support Cross-Complainants' contention. In *Prentice*, the seller of real property sued the escrow holder for negligence in the closing of the sale of real property. The escrow holder had a duty of care to the seller. Nothing in the *Prentice* opinion contradicts Cross-Defendants' contention that pleading the COA for tort of another requires there to be a duty of care owed by Cross-Defendants to Cross-Complainant. The instant action provides that Cross-Complainant is the real estate broker in the relationship with Cross-Defendants, the real estate agents. With these facts, the pleading is that Cross-Complainant is the principal and Cross-Defendants are the agent/independent contractor. Without more facts, there are insufficient facts to plead a duty of care owed by Cross-Defendants to Cross-Complainant. The Court finds the demurrer argument persuasive and Cross-Complainant failed to present argument against the issue. On this pleading defect, there is sufficient grounds to sustain the demurrer.

Cross-Defendants then argued that the COA seeks fees incurred in "bringing this Cross-Complaint". (Prayer par. 4.) However, the argument for requesting improper damages is not properly raised in a demurrer but should be raised in a motion to strike. Further, the Prayer at paragraph 4 sufficiently requested fees incurred in defending the underlying Complaint. The requested damages are proper, to that extent. In any event, the COA is not sufficiently pled because Cross-Complainant failed to allege facts to plead a tort duty owed by Cross-Defendants to Cross-Complainant.

The demurrer to the third COA is SUSTAINED WITHOUT LEAVE TO AMEND.

IT IS SO ORDERED, CLERK TO GIVE NOTICE.